HD Hyundai Marine Solution

(443060 KS)

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3Q26 review: mixed earnings release

3Q26 OP misses consensus at W95.7bn on one-off expenses

In 3Q26, HD Hyundai Marine Solution posted revenue of W650.1bn (+12% QoQ), mostly driven by bunkering sales from rising oil prices. OP reflected W9bn in costs for the Goltens acquisition and a W5bn QoQ drag from a lower average forex rate. Although non-operating forex-related losses of W58.9bn were incurred, its future impact will likely be limited, as this stemmed from a QoQ drop in the quarter-end forex rate (-W193 QoQ) on quarter-end USD holdings of $340mn.

Key risks: moderating marine AM growth, cooling FDC expectations

Even after accounting for the W14bn OP drop from one-off expenses, the earnings call identified two main risks. First, the floating data center (FDC)-related business remains at the FEED stage, making near-term (within the year) orders unlikely. Second, spot revenue is moderating as aftermarket (AM) service stabilizes (=a potential slowdown in engine AM business). In other words, upside and downside volatility is limited from a near-term earnings perspective.

Key catalyst: visibility on data center power engine AM revenue

A power generation engine operation and maintenance (O&M) contract with Aperion is expected to materialize between year-end and early next year. During the earnings call Q&A, management indicated that maintenance revenue—relative to initial engine delivery revenue—could amount to approximately 5% in years one, 5% in year two, and 25% in year three. Assuming maintenance revenue at 30–35% of engine sales over three years, total revenue generated over a power engine's 25-year lifecycle would rise to 240–280% of engine sales, from our previous assumption of 200%. We will reflect this in our valuation following the announcement of the Aperion contract, which we expect to run for at least seven years.

Keep BUY, TP of W388,000; still sector top pick for data center exposure

The investment case rests more on the medium- to long-term potential of power-generation engine maintenance than on near-term upside from core earnings. Today's share price decline reflects disappointment with 3Q26 earnings, but the investment thesis remains unchanged. Namely, HD Hyundai Marine Solution is the biggest beneficiary of the power-generation engine business serving AI data centers. We maintain the company as our sector top pick for its AIDC-related business expansion. The target price reduction reflects a slight adjustment to our 2026-2028E EPS estimates.

BUY (M)

Target price	W388,000 (Down)
Previous target price	W448,000
Current price (Oct 26)	W169,600
Upside potential	129%

Market cap (Wbn)	7,604
Shares outstanding	44,833,460
Avg daily T/O (2M, Wbn)	21
Avg daily volume (2M, shrs)	97,833
52-week high/low (won)	280,500 / 159,100
Foreign ownership (%)	30.71%
Dividend yield (%)	2.04%
Major shareholders	HD Hyundai & others

Stock performance

(%)	1M	3M	12M
Absolute	(29.0)	(19.0)	(29.6)
Relative	(8.1)	(1.0)	(49.3)
Abs (US$)	(27.1)	(10.3)	(23.6)

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	650	26.7	12.0	598	8.7
OP	96	2.2	-2.0	106	-9.6
Pre-tax net profit	108	3.1	-0.7	111	-2.3
Net profit, CI	74	-6.7	-10.3	80	-7.4
OPM (%)	14.7	-3.5 %pt	-2.1 %pt	17.7	-3.0 %pt
NPM (%)	11.5	-4.0 %pt	-2.8 %pt	13.5	-2.0 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	1,745	1,983	2,489	2,555
OP	272	350	404	502
Net profit, CI	228	270	325	393
P/E (x)	24.8	30.8	23.4	19.4
P/B (x)	7.6	10.1	7.8	7.2
EV/EBITDA (x)	19.0	21.4	16.5	13.3
ROE (%)	45.0	33.7	36.2	38.7

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

HD Hyundai Marine Solution: quarterly and annual earnings forecast

(Wbn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	486	468	513	516	575	580	650	684	1,983	2,489	2,555
YoY	26.8%	6.8%	11.3%	11.4%	18.3%	24.1%	26.7%	32.5%	13.6%	25.5%	2.6%
OP	83	83	94	91	93	98	96	118	350	404	502
YoY	61.3%	16.9%	12.3%	37.5%	12.5%	17.6%	2.2%	29.9%	28.9%	15.5%	24.3%
OPM	17.1%	17.7%	18.2%	17.5%	16.3%	16.8%	14.7%	17.2%	17.7%	16.2%	19.7%

Source: company data, Yuanta Securities

Key scenario assumptions upon securing 4GW annual power engine capacity in 2030

Factors	Unit	**Base**	Bull	Bear
Initial OEM sales (period T)	Wbn	**3,600**	4,000	3,200
Annual OEM sales growth	**%**	**0%**	**3%**	**-3%**
AM commencement time lag (T+n)	Year	**2.5**	2	3
AM sales rate (annual, % of OE price)	%	**7%**	10%	5%
AM sales duration	Year	**28**	33	23
OEM OPM	%	**30%**	35%	25%
AM OPM	%	**40%**	45%	35%

Note: base case assumes annual maintenance revenue equivalent to 7% of OEM sales over 28 years, bringing cumulative maintenance revenue to approximately 200% of OEM sales. Source: Yuanta Securities

Assumptions for converting OP from HD Hyundai Heavy's 4GW capacity expansion into dividends

Corporate tax rate	25.0%
Cost of equity	9.0%
Terminal growth	0%
Dividend payout ratio	70%

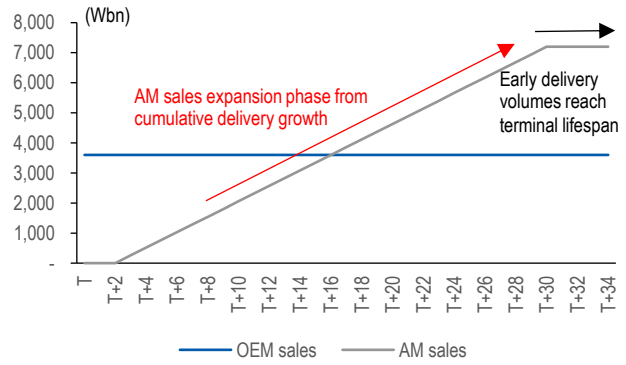
Source: Yuanta Securities

HD Hyundai Marine Solution: target price and valuation

	2026E	2027E	2028E
Net profit, CI (Wbn)	325	393	465
Target P/E (x)			30
Fair value based on 2026-2028E net profit (Wbn)			**11,827**
Data center engine AM business (4GW; from 2023E, Wbn)			
Present value of dividends discounted at 7%			4,671
Present value of terminal value			897
Data center engine AM business value			**5,569**
Existing business value + new business value			17,396
Shares outstanding at year-end (mn shares)			45
Target price (won)			388,000

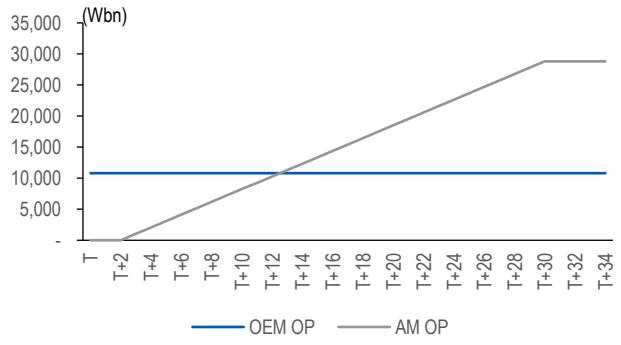
Source: Yuanta Securities

Base case: annual sales estimate under flat engine pricing



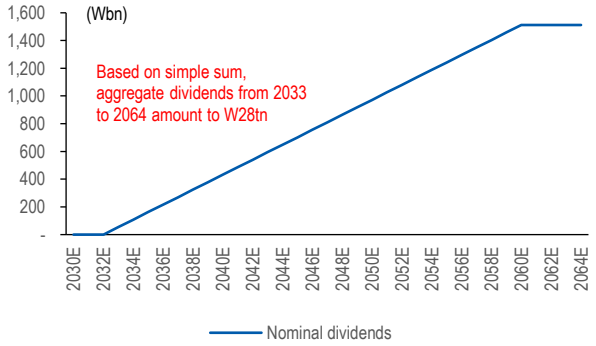
Source: Yuanta Securities

Base case: annual OP estimate under flat engine pricing



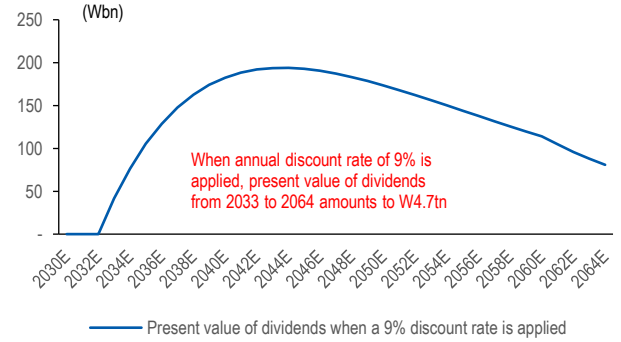
Source: Yuanta Securities

Aggregate 2033-2064 dividends amount to W28tn



Source: Yuanta Securities

Apply 9% discount: PV of dividends W4.7tn, terminal value W0.9tn



Source: Yuanta Securities

HD Hyundai Marine Solution (443060 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**1,745**	**1,983**	**2,489**	**2,555**	**2,897**
Cost of sales	1,383	1,528	1,968	1,926	2,162
Gross profit	362	455	522	629	735
SG&A	90	105	117	127	137
Operating profit	**272**	**350**	**404**	**502**	**599**
EBITDA	284	363	423	521	607
Non-operating profit	25	5	34	28	30
Forex gains	21	-7	20	12	12
Net interest income	7	15	17	19	21
Equity-method gains	0	0	0	0	0
Other	-3	-3	-3	-3	-3
Net prof before income tax	297	355	439	531	629
Income tax	69	85	114	138	163
Net profit from continuing ops	228	270	325	393	465
Net profit from discontinued ops	0	0	0	0	0
Net profit	228	270	325	393	465
NP for controlling interest	**228**	**270**	**325**	**393**	**465**
Total comprehensive income	238	266	321	389	462
Total comprehensive income, CI	238	266	321	389	462

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,076**	**1,187**	**1,349**	**1,466**	**1,624**
Cash & cash equivalents	298	378	448	479	536
Accounts receivables & other	263	318	376	434	503
Inventory	273	271	292	301	310
Non-current assets	77	86	90	90	83
Tangible assets	20	30	34	34	26
Investment in affiliates	3	3	3	3	3
Other investment assets	0	1	1	1	1
Total assets	**1,152**	**1,272**	**1,439**	**1,556**	**1,706**
Current liabilities	343	409	433	457	492
Accounts payable & other	184	214	253	293	339
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	36	39	38	37	40
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**379**	**448**	**470**	**494**	**532**
Equity, controlling interest	774	825	969	1,062	1,175
Paid-in capital	22	22	22	22	22
Capital surplus	385	404	404	404	404
Retained earnings	324	377	525	621	737
Equity, non-controlling interest	0	0	0	0	0
Total equity	**774**	**825**	**969**	**1,062**	**1,175**
Net debt	**-461**	**-546**	**-624**	**-671**	**-747**
Total debt	21	18	20	21	22

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**247**	**324**	**334**	**421**	**481**
Net profit	228	270	325	393	465
Depreciation & amortization	12	13	18	18	8
Forex gains	-6	3	-20	-12	-12
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-6	20	12	23	21
Other	18	19	-1	-1	-1
Investing cash flow	**-196**	**-21**	**-33**	**-36**	**-19**
Investment	-3	-1	0	0	0
Increase in tangible assets	-10	-17	-23	-18	0
Decrease in tangible assets	0	0	0	0	0
Other	-183	-4	-9	-18	-19
Financing cash flow	**149**	**-223**	**-200**	**-321**	**-374**
ST financial liabilities	-126	0	2	0	1
Debenture/LT financial liabilities	1	-3	0	0	0
Equity	367	20	0	0	0
Cash dividend	-100	-215	-177	-296	-350
Other cash flow	7	-26	-26	-26	-26
Consolidation adj and other	3	0	-31	-34	-30
Increase in cash & equivalents	**203**	**79**	**70**	**30**	**58**
Beginning cash & equivalents	96	298	378	448	479
Ending cash & equivalents	298	378	448	479	536
NOPLAT	272	350	**404**	**502**	**599**
FCF	**237**	**307**	**311**	**403**	**481**

Valuation

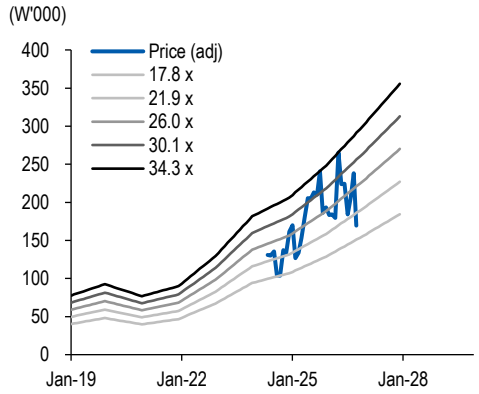
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	5,302	6,013	7,241	8,760	10,380
BPS (won)	17,255	18,396	21,612	23,697	26,201
EBITDA/shr (won)	6,595	8,093	9,431	11,614	13,532
SPS (won)	40,599	44,228	55,524	56,990	64,628
DPS (won)	3,150	3,950	6,600	7,800	0
P/E (x)	**24.8**	**30.8**	**23.4**	**19.4**	**16.3**
P/B (x)	**7.6**	**10.1**	**7.8**	**7.2**	**6.5**
EV/EBITDA (x)	**19.0**	**21.4**	**16.5**	**13.3**	**11.3**
P/S (x)	**3.2**	**4.2**	**3.1**	**3.0**	**2.6**

Key financial data

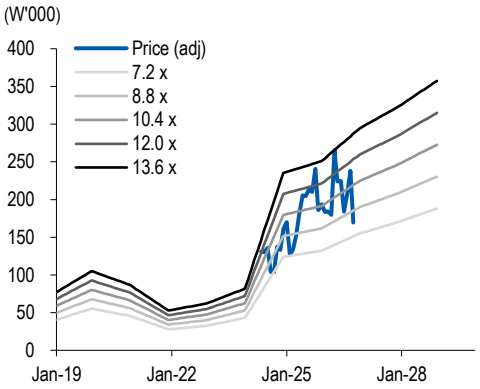
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**22.0**	**13.6**	**25.5**	**2.6**	**13.4**
Operating profit (%YoY)	**34.9**	**28.9**	**15.5**	**24.3**	**19.2**
Net profit, CI (%YoY)	**50.8**	**18.3**	**20.4**	**21.0**	**18.5**
Gross margin (%)	20.7	22.9	21.0	24.6	25.4
Operating margin (%)	**15.6**	**17.7**	**16.2**	**19.7**	**20.7**
Net margin, CI (%)	13.1	13.6	13.0	15.4	16.1
EBITDA margin (%)	16.2	18.3	17.0	20.4	20.9
ROIC (%)	76.3	98.5	103.5	108.1	114.7
ROA (%)	25.2	22.2	23.9	26.2	28.5
ROE (%)	**45.0**	**33.7**	**36.2**	**38.7**	**41.6**
Debt-to-equity (%)	49.0	54.3	48.6	46.5	45.3
Net debt-to-equity (%)	-59.6	-66.2	-64.4	-63.2	-63.6
OP/financing cost (x)	59.8	330.2	384.8	450.4	515.2

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

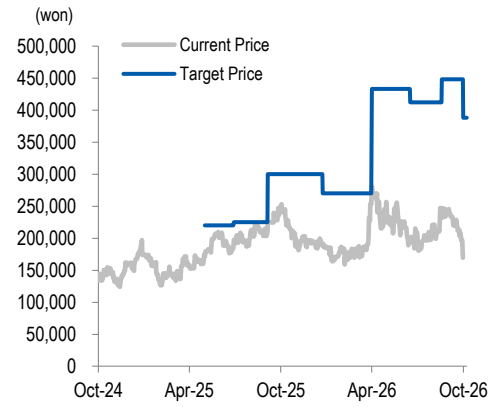
P/E band chart



P/B band chart



HD Hyundai Marine Solution (443060 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/27	BUY	388,000	1 yr		
2026/09/14	BUY	448,000	1 yr	-50.05	-45.09
2026/07/13	BUY	412,000	1 yr	-50.70	-40.05
2026/04/27	BUY	433,000	1 yr	-46.66	-36.26
2026/01/19	BUY	270,000	1 yr	-32.51	-6.11
2025/10/01	BUY	300,000	1 yr	-30.02	-15.67
2025/07/25	BUY	225,000	1 yr	-9.36	-2.22
2025/05/28	BUY	220,000	1 yr	-12.50	-4.77

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 27, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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